

FLORIDIAN RESTAURANT RISK AND FINANCIAL ANALYSIS REPORT

Key Works Firm

It is a dedicated risk advisory and management consultant specializing in generational business development and governance. Our mission is to safeguard value by identifying mitigating operational and financial risks, thereby enabling sustainable growth and operational excellence. We partner with established businesses to transform risk compliance into a strategic advantage.

La Floridian

It is a floridian restaurant is a beloved, multi-generational staple in Fort Lauderdale Beach, known for its award winning menu. While the business has strong community ties and product quality, it faces significant internal and external vulnerabilities following its expansion and changes in management dynamics. The current ownership structure includes the Montavlo siblings Marina, Carlos, and Manuela and two outside partners, each holding a 20% share.

Financial Analysis

1. **Losing money on sale** - The prime cost ratio is 109.1% and that means for every 1.00\$ of sale they are spending 1.09 on the ingredients, staff and service. This is a 9% loss before you even pay rent, utilities, insurance or loan payments.
2. **Too much debt** - the debt to equity ratio is also very high of 7.94. This means that the restaurant has almost 8\$ of debt for every 1\$ they have invested. This makes it very risky and the business is not supposed to take in any more financial losses as it will make it difficult to run the business operations.
3. **Low Profit Margin** - the gross profit ratio is 50.8% and which means that only 51 cents from every dollar of sale is left to pay for all the costs other than food. This is not high enough to cover the daily labor and operating costs.
4. **Current ratio** - it is ranging at 0.73 which means the company does not have enough money to pay or cover its immediate bills that are due next year.

HEAT MAP



SWOT ANALYSIS

★ WEAKNESSES

- Poor supplier & vendor mgmt
- No digitized records
- Improper structure of hiring
- No proper division of office

★ STRENGTHS

- Award-winning menu
- Strong family relations
- Trust & reputation in locals
- Locally sourced ingredients and better relations

★ THREATS

- Geographical location (can be prone to typhoons)
- Safety risks during high peak hour
- No crowd control policy
- Untrained and insufficient staff

× OPPORTUNITIES

- Beachy locations and expansion of rooftop
- Easily available seafood and other ingredients

Loss Triangulation

Accident Year	12 Months	24 Months	36 Months	48 Months	60 Months
2018	\$1,175,025	\$2,232,548	\$2,679,057	\$2,813,010	\$2,869,270
2019	\$985,750	\$1,823,638	\$2,133,656	\$2,283,012	(not old enough)
2020	\$1,250,750	\$2,751,650	\$3,494,596	(not old enough)	(not old enough)
2021	\$1,325,750	\$2,850,363	(not old enough)	(not old enough)	(not old enough)
2022	\$1,225,750	(not old enough)	(not old enough)	(not old enough)	(not old enough)

RISK TREATMENT STRATEGIES

The strategies have been distributed into 3 focuses:

1. Mitigation Focus

- Here the primary goal is to implement strategies to avoid future risk and that is reduce its likelihood for better operations.
- Activities that can be avoided and mitigated are initially digitising the records and building a structure for hiring.

2. Transfer Focus

- In this either the risk or problems cannot be completely avoided but can be delegated and guidance brought in for smooth business operations.
- Such transferable risks are getting an insurance to take that financial burden of physical damages or injuries. Also another such risk that can be transferred is outsourcing the staff this way the third party is responsible for the efficiency

of their employees. This not only transfers the risk but completely eradicates many tasks that have to be handled by the management earlier.

3. Retention Focus

- This focus mainly involves accepting the minor predictable risks and dealing with it internally as external help will not solve it completely.
- Some such risks are the vendor structure and the clashes in opinion caused because of that. The company has to finalise something and come to a conclusion with their vendor structure instead of just believing them blindly and the management has to take responsibility and delegate their tasks internally for swift operations of the business.

RISK REGISTER

PROBLEMS	IMPACT	RISK STRATEGY	RESPONSIBILITY
High Debt to Equity Ratio	Limited future growth.	3-year plan to reduce the debt/equity ratio, and prioritise leasing.	Marina Montavlo (CEO/Finance Partner)
Poor Staff training & Understaff	Poor service, legal risk from injuries	Outsourcing and timely training to accustom to the restaurant's need	Carlos Montavlo (Operations Manager)
No Digitised Records	Loss of confidential information	Hire new staff to handle this and set up new age softwares for better handling.	New admin staff
Poor supplier/vendor management	Delivery delays, improper details, chances of being deceived.	Review system and yearly audits and proper digitised system	Carlos Montavlo (Operations Manager/Procurement)
Crowd hour management	Injuries, legal liability, damage of image and property	Maintain crowd management protocols and train the staff accordingly	Carlos Montavlo
Natural Disasters	Property damage, loss of lives and stock loss.	Refrain from outdoor operations and events during high-risk weather alerts.	Insurance & Marina Montavlo

MONITORING PLAN

Risk Area	KPI	Method	Frequency	Responsibility
High Debt	Debt-to equity ratio	Monthly P&L and Balance sheet analysis with the 3-year plan	Weekly (Prime cost)	Marina Motavlo(CEO)
Staffing& Safety	Staff turnover rate, Incident rate	Bi-weekly check ins, monthly review of safety logs	Bi-weekly	Carlos Motavlo
Digitisation of records	Project milestone, time to retrieve specific records	Weekly progress, quarterly system audit	System audit	Ne admin staff
Supplier & vendor management	Supplier scorecard, stockouts or quality rejections	Monthly checking of invoices, slips	Monthly	Carlos Montavlo

RECOMMENDATIONS

1. Lease the property - it is recommended to lease the property because it will keep bringing in a lot of money regardless of how the business is going because having enough assets for business will be beneficial for operations and as a warehouse also.
2. Change of menu and prices- to deal with issue of current ratio the business can make some tweaks with seasonal menu bringing out the season special dishes.
 - Since Florida being native for sea food and natural produce, a menu with such ingredients can add more to their image of being an old authentic restaurant.
 - They can have their usual money but can maybe also focus on bringing out such tweaks that will add more authenticity.